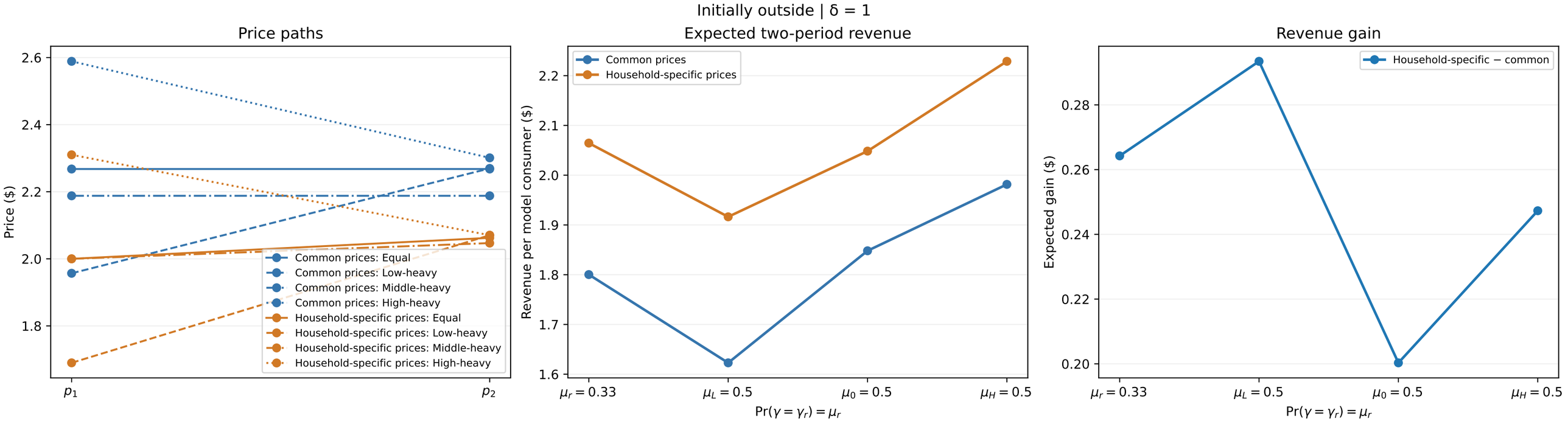
Initially outside | δ = 1
Price paths
Price ($)
2.6
2.4
2.2
2.0
1.8
p_1
p_2
Common prices: Equal
Common prices: Low-heavy
Common prices: Middle-heavy
Common prices: High-heavy
Household-specific prices: Equal
Household-specific prices: Low-heavy
Household-specific prices: Middle-heavy
Household-specific prices: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
2.2
2.1
2.0
1.9
1.8
1.7
1.6
Common prices
Household-specific prices
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
0.28
0.26
0.24
0.22
0.20
Household-specific − common
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$